

India UPI Growth & Market Concentration Analysis

August 2016 – September 2026

Aryan · 8 October 2026 · Data: NPCI UPI Product & Ecosystem Statistics

UPI now carries about **24 billion transactions a month**. I wanted to answer three simple questions with official NPCI data: how fast has UPI grown and is it slowing down, how are people actually using it, and who is winning the app market? This report covers ten years of monthly totals (Aug 2016 – Sep 2026) and two years of app-level data (Sep 2024 – Aug 2026).

24.1 bn Transactions in Sep 2026	₹29.4 lakh cr Value in Sep 2026	100.8% Volume CAGR, FY18–FY26
22.6% YoY volume growth, Sep 2026	77.9% PhonePe + Google Pay share, Aug 2026	3,215 HHI, Aug 2026 (highly concentrated)

Executive summary

- **UPI grew 264× in eight years.** Volume rose from 0.9 bn transactions in FY18 to 241.6 bn in FY26, a CAGR of 100.8%.
- **Growth is slowing in %, not in size.** YoY growth cooled from 33–39% (Nov 2024 – May 2025) to 22.6% (Sep 2026), but UPI still adds about 55 bn transactions every year.
- **Payments are getting smaller.** The average ticket fell from ₹1,838 (FY21) to ₹1,301 (FY26). Shops now get ~63% of transactions but only ~30% of the value.
- **The duopoly is loosening, slowly.** PhonePe and Google Pay hold 77.9% of volume (Aug 2026), down from 85.4% in Sep 2024. The HHI, a 0–10,000 concentration index, is 3,215: still highly concentrated.
- **Challengers are real, led by Navi.** Navi gained 1.88 percentage points (pp) of share in a year, the most of any app. Paytm, BHIM and WhatsApp also gained.

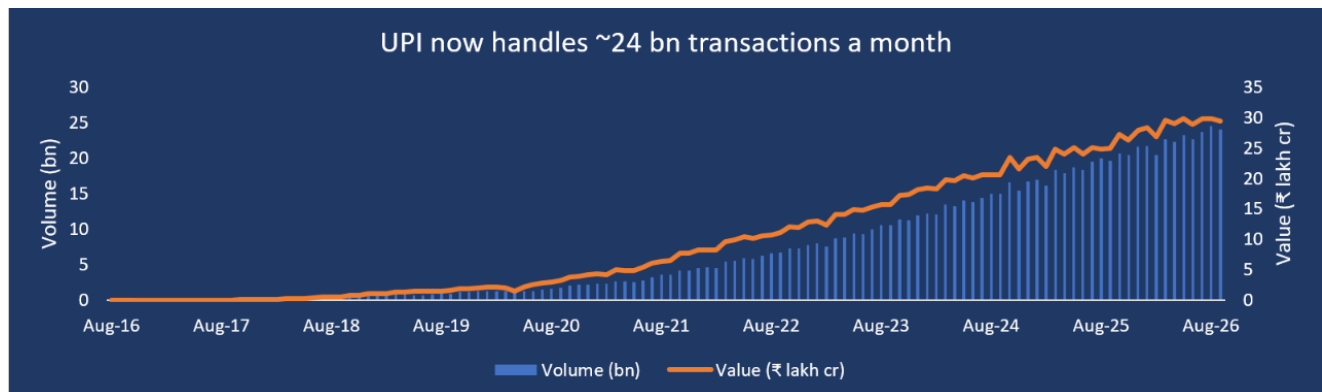
In one line: UPI has become India's everyday payment habit. It is still growing by about 55 bn transactions a year, payments are getting smaller, and the two biggest apps are slowly losing ground.

Questions this report answers

How fast has UPI grown since 2016?	Section 1	Is there a festive-season effect?	Section 2
Is growth slowing?	Section 1	How concentrated is the app market?	Section 3
Is UPI moving to smaller payments?	Section 2	Which challenger apps are growing fastest?	Section 3
How is the P2P vs P2M mix changing?	Section 2	What should apps and regulators do?	Section 4

SECTION 1

Growth: UPI doubled every year, and is now settling



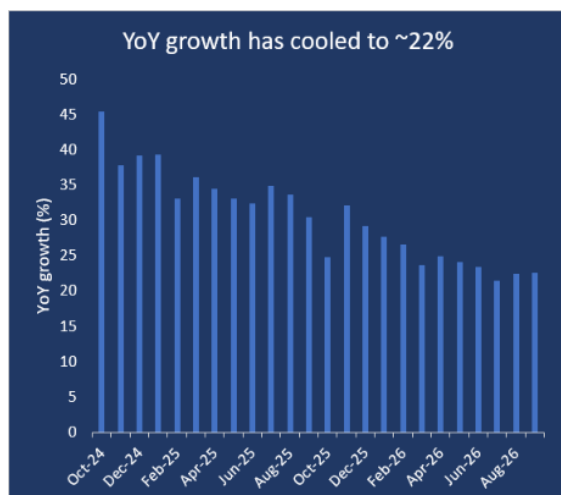
Monthly volume (bars) and value (line), Aug 2016 – Sep 2026.

Eight years of doubling. Volume rose from 0.9 bn transactions in FY18 to 241.6 bn in FY26, 264 times higher. That is a compound annual growth rate of 100.8%: on average, UPI doubled every year. Value grew slightly faster, from ₹1.10 lakh crore to ₹314.23 lakh crore (CAGR 102.8%).

Yearly growth has fallen every year since FY22, from 105.8% to 82.2%, 56.6%, 41.7% and 30.0% in FY26. That is what you would expect as a system gets this large.

	FY18	FY19	FY20	FY21	FY22	FY23	FY24	FY25	FY26
Volume (bn)	0.9	5.4	12.5	22.3	46.0	83.8	131.1	185.9	241.6
YoY growth	–	489.3%	132.2%	78.4%	105.8%	82.2%	56.6%	41.7%	30.0%

Complete financial years only (April to March). FY17 and FY27 are partial and left out.



YoY volume growth, Oct 2024 – Sep 2026.

Is growth slowing?

In percentage terms, yes. YoY volume growth ran at 33–39% between Nov 2024 and May 2025. Since Mar 2026 it has stayed between 21.5% and 24.9%, and Sep 2026 came in at 22.6%.

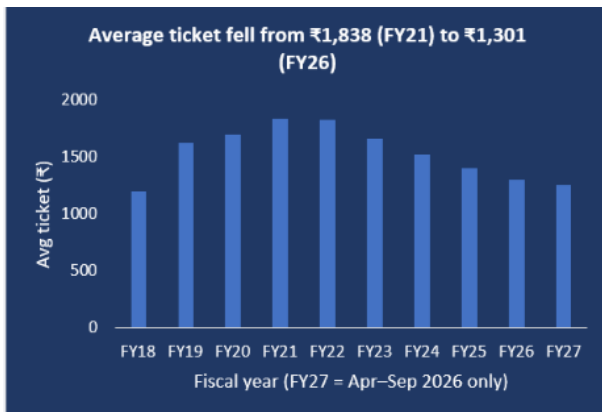
In absolute terms, no. FY26 added 55.7 bn transactions, almost the same as FY25 (54.7 bn). The same yearly addition simply looks smaller on a much bigger base.

One spike is a calendar effect: Oct 2024 (45.4%) is inflated because Diwali fell on 31 Oct in 2024 but on 12 Nov in 2023.

What this means: plan for roughly 55 bn new transactions a year, not for another doubling.

SECTION 2

How UPI is used: more, smaller payments



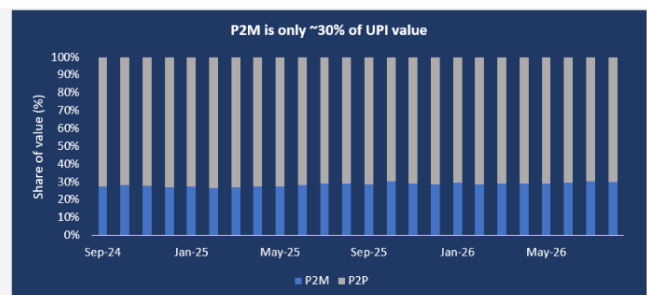
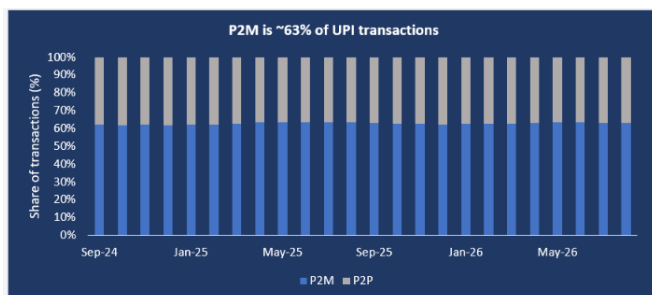
FY17 (₹3,912, only 8 months after launch) is left out.

The average payment keeps shrinking

Average ticket size peaked at **₹1,838 in FY21** and has fallen every year since, to **₹1,301 in FY26**, down 29%. Over the same five years, volume grew about 11 times (22.3 bn → 241.6 bn).

The yearly fall is easing, from -9.2% in FY23 to -7.2% in FY26, and FY27 so far is ₹1,259. This suggests UPI is replacing cash for small daily spends, not just bank transfers.

Shops get most payments, but not most money



Share of transactions (left) and value (right) by payment type, Sep 2024 – Aug 2026.

Person-to-merchant (P2M) payments are **63.3% of transactions but only 30.0% of the value** (Aug 2026), in line with PIB's ~63% figure. A shop payment averages ₹577; a person-to-person (P2P) transfer averages ₹2,319, about four times more.

Aug 2026	P2M (to merchants)	P2P (to people)
Share of transactions	63.3%	36.7%
Share of value	30.0%	70.0%
Average ticket	₹577	₹2,319

The balance is shifting slowly. Since Sep 2024, P2M's share of value rose from 27.4% to 30.0%, while the average P2P transfer fell 12% (₹2,633 → ₹2,319). The average shop payment stayed in a ₹570–648 band, peaking in Oct 2024.

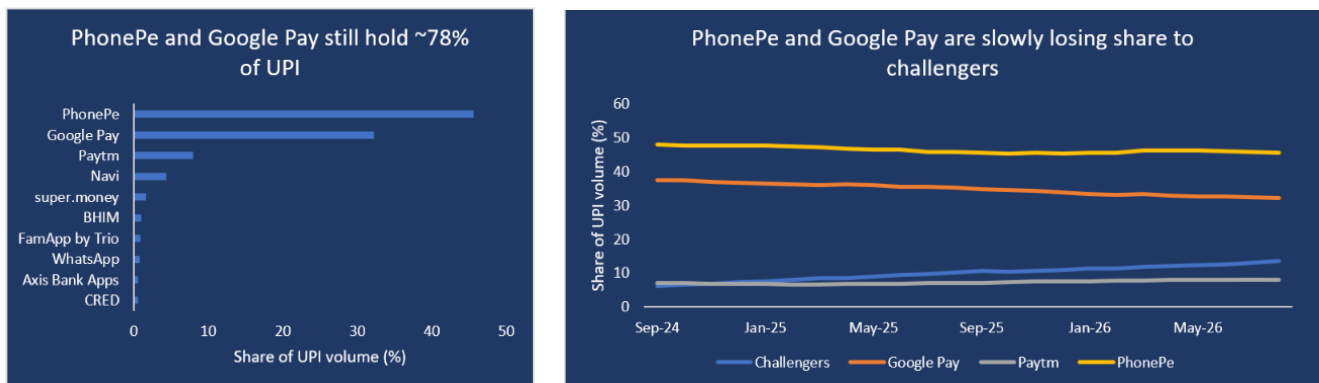
Is there a festive-season effect?

Yes, but it mostly moves spending rather than adding it. Measured as growth in volume per day (so 28-, 30- and 31-day months compare fairly) and averaged from 2021, October is the second-strongest month at +5.9%, after February (+6.3%). November is the second-weakest at +1.3%. Together, October and November add about 7.3%, the same as two ordinary months.

What this means: UPI's growth now comes from frequent, small payments at shops, while larger amounts still move person to person.

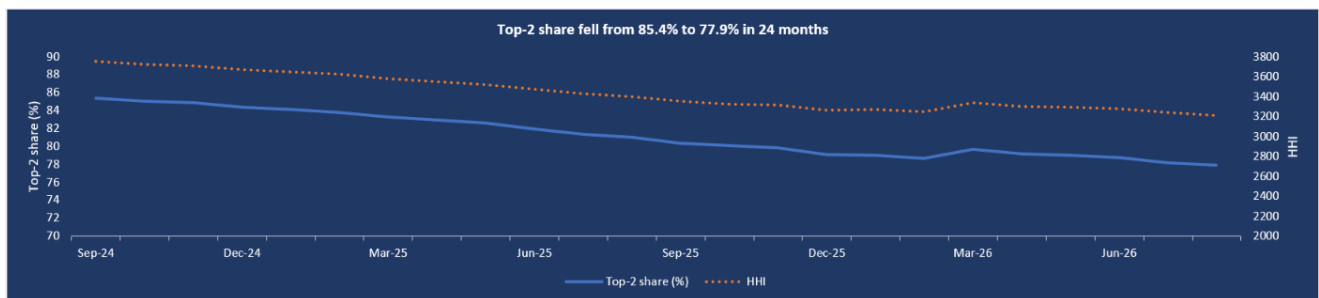
SECTION 3

Who wins: a duopoly that is slowly loosening



Left: share of UPI volume, top 10 apps, Aug 2026. Right: share trend, Sep 2024 – Aug 2026; "Challengers" means all apps outside the top 3.

Two apps still dominate. PhonePe (45.6%) and Google Pay (32.3%) together handle 77.9% of UPI transactions (Aug 2026). Paytm is a distant third at 8.0% and Navi is fourth at 4.4%. But the direction is clear: both leaders are losing share, and the challengers (all apps outside the top 3) more than doubled theirs, from 6.2% to 13.5%.



Top-2 share (left axis) and HHI (right axis), 24 monthly data points from Sep 2024 to Aug 2026.

Between Sep 2024 and Aug 2026, the top-2 share fell from 85.4% to 77.9%, and HHI (the sum of squared market shares, from 0 to 10,000) fell from 3,757 to 3,215. Most of the drop came from Google Pay (–5.1 pp); PhonePe gave up 2.4 pp. US merger guidelines treat an HHI above 2,500 as highly concentrated (the 2023 update lowers this to 1,800), so this is a duopoly that is loosening, not breaking.

Biggest share gainers, Aug 2025 → Aug 2026 (apps with 50 mn+ monthly transactions)

App	Rank (Aug 25 → Aug 26)	Volume, Aug 26 (mn)	YoY growth	Share change
Navi	4 → 4	1,078.9	+113.9%	+1.88 pp
Paytm	3 → 3	1,967.9	+39.8%	+1.00 pp
BHIM	9 → 6	253.7	+153.3%	+0.53 pp
super.money	5 → 5	421.9	+64.4%	+0.44 pp
WhatsApp	11 → 8	183.7	+134.9%	+0.36 pp

Navi is the clear challenger. Its volume more than doubled and its share rose 1.88 pp, the largest gain of any app. Paytm is recovering, and BHIM and WhatsApp each climbed three ranks. The 3.04 pp that Google Pay lost over the same period spread across several apps rather than one winner. CRED moved the other way, from 6th to 10th.

SECTION 4

Recommendations

Three actions follow directly from the numbers in this report.

1	WHO Payment apps and merchant acquirers	WHAT Compete on the speed and reliability of small payments (for example UPI Lite and sound boxes).	WHY The average ticket has fallen 29% since FY21 and P2M is 63% of transactions. That is where the volume is.
2	WHO RBI and NPCI (UPI's operator)	WHAT Track top-2 share and HHI every month.	WHY Concentration is falling (85.4% → 77.9%), but an HHI of 3,215 is still highly concentrated. Monthly tracking shows whether the trend holds.
3	WHO Challenger apps	WHAT Measure repeat usage, not just volume growth.	WHY Navi shows share can move (+1.88 pp), but Google Pay's lost share spread across many apps. Whoever keeps users will keep the share.

Limitations

- Data was copied manually from NPCI and validated in Python; NPCI can revise figures later.
- App-wise data lags the monthly totals by one month (latest app month: Aug 2026).
- App data covers only the apps NPCI lists, 97.5–99.4% of volume per month (75 apps in Sep 2024, 92 in Aug 2026). Up to 0.7 pp of the challengers' 7.3 pp gain may come from more apps being listed.
- Average ticket is value ÷ volume, so a shift in the P2P/P2M mix also moves it.
- A one-month jump in Mar 2026 looks like an NPCI reporting change, not a real market shift.
- Seasonality averages only 5–6 years per month, and 2021 includes COVID lockdown months.

Method

1 Collect & validate Python (pandas) NPCI files combined into a fixed template; the script checks for duplicates, missing months, unit errors and totals before exporting clean CSVs.	2 Model & analyse MySQL 8 3 tables with keys and checks. CTEs and window functions (LAG, RANK, ROW_NUMBER, rolling AVG) for growth, CAGR, share, HHI and rank movement, saved as 6 views.	3 Visualise Excel Power Query loads the 6 views into a dashboard with 7 KPIs, PivotCharts, a slicer and a timeline. It refreshes in one click.
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Dataset	Period	Rows
Monthly UPI totals	Aug 2016 – Sep 2026	122
App-wise volume and value	Sep 2024 – Aug 2026	2,052
P2P vs P2M	Sep 2024 – Aug 2026	48

Code, SQL, dashboard and data: <https://github.com/faustusaryan/upi-growth-analysis>

Data source: [NPCI UPI statistics](#). Used only as cross-checks: [PIB](#), "UPI completes 10 glorious years" (P2M share) and [Business Standard](#), [Sep 2026](#) (Jul and Aug 2026 totals).